

Alphabet Inc.

GOOGL NASDAQ

Buy	\$345.78 ▲ 0.85%	12M Price Target \$385.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.23T
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GOOGL: Big Tech CEOs Push Back on AI Rules

WHAT HAPPENED

- Stock up 0.85% to \$345.78, riding a broader tech tape (+2.31% for the sector). The real story overnight: Zuckerberg, Musk, and Huang reportedly called Trump directly to oppose new AI regulation — that's a huge tailwind signal for Alphabet even though Sundar wasn't named, because any deregulatory push helps every hyperscaler.
- Counterweight: MediaPost reports GOOGL faces 6 years of global regulatory oversight (antitrust remedies stemming from the search/ad-tech cases). Market shrugged it off — probably because the outcome was already priced in when the judge declined to force a Chrome divestiture earlier this year.

WHY IT MATTERS

The tug-of-war here is fascinating: on one side, the Trump admin appears receptive to Big Tech's "don't regulate AI" pitch, which gives Alphabet room to run hard on Gemini and cloud without compliance drag. On the other side, they're locked into 6 years of antitrust oversight globally — meaning every product tweak gets scrutinized. Net-net, I think the AI tailwind wins because it directly drives revenue (cloud +30%+ growth), while the oversight is a slow tax on management attention, not earnings. Options flow backs this up — a 0.34 put/call ratio (traders buying 3 calls for every put) plus that unusual \$347.50 call sweep tells you smart money is positioning for a breakout above the \$349 recent high.

POLICY & POLITICAL WATCH

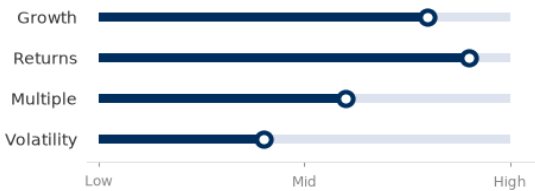
The big one: the White House AI Action Plan and rumored executive order preempting state-level AI laws (California's SB-53, Colorado's AI Act). If Trump signs a federal preemption order — which the Zuck/Musk/Huang call suggests is being lobbied hard — Alphabet dodges a 50-state compliance nightmare and can ship Gemini features faster. Also watch the DOJ's ongoing ad-tech remedies proceeding: any forced divestiture of Google Ad Manager would be a real hit, but current signals point to behavioral remedies (softer) rather than structural (harder). Tariff angle is minor — Alphabet's Pixel hardware is small, but any China escalation could pressure the TAC (traffic acquisition costs) they pay Apple if iPhone volumes wobble.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$345.78
12M Price Target	\$385.00
Upside / (Downside)	+11.3%
Market Cap	\$4.23T
FY2026E Revenue	\$415M
FY2027E Revenue	\$475M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	35.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$425.00	\$275.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.31%) leading everything — the anti-regulation lobbying push and continued AI capex cycle is fueling it. Consumer Discretionary (+1.41%) also strong on the Lucid-Bolt robotaxi deal signaling autonomous is real (Waymo read-through positive).

COOLING OFF: Nothing outright red today, but Utilities and Real Estate lagging on the 5-day — money leaving defensives to chase tech.

ROTATION WATCH: Classic risk-on rotation into mega-cap tech as rate-cut expectations firm up and the political backdrop turns friendlier for AI. GOOGL is a direct beneficiary because it's the cheapest of the Mag 7 on earnings.

RELATED PLAY: If you like the GOOGL setup, the picks-and-shovels play is data center power — think VRT (Vertiv) or the nuclear names (CEG, VST) because Alphabet's \$85B capex has to go somewhere and it's mostly electricity and cooling.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Riding the same anti-regulation narrative — Huang was literally on the call with Trump. Every AI capex dollar from GOOGL flows through them.
- META (Meta Platforms): Zuck's presence in that Trump call is being read as "no AI ad restrictions coming" — huge for their Reels/AI-targeted ad stack.

GOOGL CONTEXT: GOOGL is slightly lagging NVDA and META on the day, likely because of the "6 years of oversight" headline creating a small overhang. But that's your opportunity — same tailwinds, cheaper multiple, and Waymo is a free call option nobody's paying for.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$335-342 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Forced breakup ruling in DOJ case, or cloud growth drops below 25%

Hedging: Buy put spreads around earnings, or pair with a short in an ad-dependent peer like META